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LATAM BUSINESS GUIDE · 01 | CULTURE

Doing Business in Latin America: Culture, Trust and Etiquette

A practical guide for European and international companies entering Chile, Peru, Argentina, Colombia and Mexico, and the cultural codes that decide whether a first meeting becomes a first contract.

Latin America is often presented as one market. It is not. The region shares a language, a strong relationship-driven business culture and a few common rules, but each country has its own pace, communication style and way of making decisions. Companies that treat the region as one homogeneous block usually lose 12 to 18 months before they adjust. Companies that understand the cultural layer early win trust faster, shorten sales cycles and avoid expensive misunderstandings.

5	281M+	1 language	Trust first
key economic hubs covered in this guide	people across Mexico, Colombia, Argentina, Peru and Chile	but five distinct business cultures	relationships come before transactions

The regional business culture: what is shared

Beyond the national differences, there are cultural patterns that hold across the five markets. Understanding them is the first step to a credible commercial approach.

- **Relationships before transactions.** People buy from people they know and trust. The first meetings are about building rapport, not closing. Expect coffee, lunch and personal conversation before a serious commercial discussion.
- **Hierarchy matters.** Decisions are usually made, or at least validated, at the top. Reaching the right senior sponsor is often more important than convincing several mid-level managers.
- **Indirect, polite communication.** A direct "no" is rare. Phrases such as "let me check" or "we will review it" can mean low interest. Reading between the lines is a core commercial skill.
- **Spanish is the business language.** Senior executives in large companies often speak English, but proposals, contracts, follow-ups and day-to-day operations happen in Spanish. Local language signals long-term commitment.
- **Presence builds credibility.** Video calls work for follow-up, but a face-to-face visit, a local phone number and a local partner are strong signals that a foreign company is serious about the market.
- **WhatsApp is a business channel.** Once a relationship is established, WhatsApp is widely used to coordinate meetings, share documents and follow up, often faster than e-mail.
- **Flexibility and patience.** Timelines move, meetings get rescheduled, and approvals take longer than planned. Persistence, polite follow-up and a long-term view are rewarded.

Common mistakes, and what works instead

Common mistake	What works in Latin America
Pitching the product in the first meeting	Invest the first meeting in understanding the client, its people and its context; propose next steps, not a price.
Sending English-only materials	Localize decks, proposals and contracts into Spanish, with local references, currency and cases.
Selling remotely from Europe	Combine local presence with remote support; visit key accounts in person at decisive moments.
Copying the European pricing and contract model	Adapt payment terms, pilots and pricing to local budgets, currencies and procurement practices.

Common mistake	What works in Latin America
Treating the region as one market	Prioritize one or two entry markets, then expand with a regional hub and country-specific playbooks.
Pushing for a fast "yes"	Build the relationship, identify the real decision-maker and let trust drive the timeline.

The meeting and negotiation playbook

A first meeting in Latin America is rarely the moment to close. It is the moment to earn the right to a second one. This simple playbook reflects what consistently works for foreign B2B companies across the five markets.

Before the meeting	During the meeting	After the meeting
Secure a warm introduction through a trusted local contact, chamber or partner; cold approaches convert far less.	Open with personal conversation; let the host set the pace before moving to business.	Send a short written summary in Spanish within 24 hours, confirming agreements and next steps.
Research the company group, its owners and its decision-making structure.	Listen first: ask about the client's challenges before presenting your solution.	Follow up consistently, by e-mail and WhatsApp once the relationship allows it.
Prepare Spanish materials with local references, local currency and regional cases.	Read indirect signals; "interesting" or "we will review it" is not a commitment.	Propose a low-risk next step: a pilot, a workshop or a site visit.
Confirm the meeting a day before; agendas often move at short notice.	Avoid hard closing tactics and price pressure in the first meeting.	Plan a return visit; physical presence at decisive moments accelerates the deal.

Country snapshots

The five markets share the same language and a relationship-first culture, but the way meetings run, decisions are made and deals are negotiated varies. The comparison below summarizes general tendencies observed in B2B environments; individual companies and sectors will always differ.

Business trait	Chile	Peru	Argentina	Colombia	Mexico
Punctuality expected	High	Medium	Medium	Medium	Medium
Formality in first meetings	High	High	Medium	High	High
Directness of communication	Medium	Low	High	Low	Low
Weight of hierarchy	High	High	Medium	High	High
Typical speed of decision	Medium	Low	Medium	Medium	Low
Importance of personal relationship	Medium	High	High	High	High

CHILE Structured, reliable, conservative

Business style	The most institutional and process-driven market in the region. Rules are respected, contracts are honored and payments are generally reliable.
Communication	Polite, measured and somewhat reserved. Chileans avoid open confrontation; criticism is delivered softly. Humor and small talk help, but meetings stay professional.
Decision-making	Formal procurement in large corporates, with several layers of approval. Risk aversion is high: references and local track record matter a lot.
Practical tip	Be punctual, come well prepared with data and local references, and expect a deliberate process. Once trust is earned, relationships are stable and long term.

PERU Formal, hierarchical, relationship-based

Business style	Business is concentrated in Lima and in a relatively small circle of family groups and executives. Who introduces you matters.
Communication	Very courteous and indirect. Titles (Ingeniero, Doctor, Licenciado) are commonly used. A "yes" may simply mean "I hear you".
Decision-making	Centralized at the top; owners and general managers are often involved directly. Processes can be slow and bureaucratic, especially with large firms and the state.
Practical tip	Use warm introductions, invest in personal relationships and follow up consistently. Patience and in-person visits make a visible difference.

ARGENTINA Sophisticated, direct, debate-driven

Business style	Highly educated, creative and well-connected professionals. Business culture is cosmopolitan and closely linked to Europe.
Communication	The most direct and expressive of the five. Debate, negotiation and challenging ideas are part of the process and not a sign of rejection.
Decision-making	Decisions can be fast once the business case is clear, but macroeconomic volatility (inflation, FX, regulation) strongly shapes budgets and timing.
Practical tip	Expect intense negotiation and long conversations. Show flexibility on pricing, currency and payment terms, and build personal rapport over meals.

COLOMBIA Warm, entrepreneurial, courteous

Business style	Dynamic and increasingly international business community, with strong hubs in Bogotá and Medellín and a growing entrepreneurial and fintech ecosystem.
Communication	Exceptionally polite and warm. Colombians avoid saying "no" directly and value respectful, friendly interactions; aggressive selling backfires.
Decision-making	Hierarchical; senior executives decide, but consensus with the team is valued. Formality in dress and titles is higher than in Chile or Argentina.
Practical tip	Invest time in personal connection, be patient with indirect signals and confirm agreements in writing after every meeting.

MEXICO Large, hierarchical, relationship-intensive

Business style	The largest Spanish-speaking market, with sophisticated corporates, strong manufacturing and close ties to the United States. Regions (CDMX, Monterrey, Guadalajara, Bajío) have distinct business cultures.
Communication	Formal, courteous and indirect. Building "confianza" is essential; business lunches are long and are where relationships are built.
Decision-making	Strongly hierarchical: the decision rests with the top executive or owner. Sales cycles can be long and require multiple visits.
Practical tip	Gain access through warm introductions, respect titles and protocol, and never skip personal relationship-building. In Monterrey, expect a more direct, US-influenced style.

Etiquette quick reference

Topic	Chile	Peru	Argentina	Colombia	Mexico
Greeting	Handshake; one cheek kiss once there is familiarity	Handshake; formal titles at first	Handshake; cheek kiss common, even among men who know each other	Firm handshake, eye contact; warm and formal	Handshake; titles such as Licenciado or Ingeniero
Dress code	Business formal, increasingly smart casual in tech	Conservative business formal	Elegant business attire; style matters	Formal; dark suits in Bogotá	Formal in CDMX; lighter in Monterrey and the coast
Business lunch	Common, around 1:00 to 3:00 pm	Long lunches build trust	Late lunches and dinners; meals are for relationships	Lunch is a key relationship moment	Long lunches (2:00 to 5:00 pm) are where deals advance

Topic	Chile	Peru	Argentina	Colombia	Mexico
Slow business periods	January and February (summer); mid-September (Fiestas Patrias)	Late July (Fiestas Patrias); late December	January and February (summer); late December	Mid-December to mid-January; Holy Week	Mid-December to early January; Holy Week

Cultural readiness checklist

Before investing in a market launch, foreign companies should be able to answer "yes" to most of these questions:

- ✓ Do we have Spanish-language sales materials, proposals and contracts?
- ✓ Do we have a warm introduction path to our first ten target accounts?
- ✓ Do we know who really makes the decision in each target company?
- ✓ Can we adapt pricing, currency and payment terms to local practice?
- ✓ Can we be physically present at key commercial moments?
- ✓ Do we have a local partner who can represent us and follow up daily?
- ✓ Have we planned around local holidays and slow business periods?
- ✓ Do we have a country-by-country plan rather than a single regional pitch?

Key takeaway

Culture is not a soft topic in Latin America; it is a commercial variable. The same product, at the same price, can win or lose a deal depending on who makes the introduction, how the first meeting is run and how patiently the follow-up is managed. Local guidance shortens the learning curve dramatically.

HOW WIDDEX BDP CAN HELP

Turn cultural insight into local revenue

Widdex BDP is a Latin American Business Development Partner and Fractional HQ, led by executives with more than 25 years of C-level experience across the region. We act as your local commercial team: we open doors with the right decision-makers, lead and facilitate sales meetings in Spanish, adapt your messaging and pricing to each country's culture, and support negotiation and closing of your first clients and pilots. Hiring Widdex BDP means **avoiding the cultural mistakes that typically cost foreign companies 12 to 18 months**, gaining **immediate local credibility through a trusted network in five countries**, and **validating demand before committing permanent capital or hiring a full local team**, with the option to scale into a turn-key Fractional HQ in Chile when you are ready.

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Sources & notes

Population and market data: Widdex BDP market overview · Country comparisons reflect general B2B tendencies based on Widdex BDP field experience; individual organizations and sectors vary